United Nations Development Programme

Kosovo

Project Initiation Plan

Project Title: Leveraging Nationally Determined Contributions (NDCs) to achieve net-zero emissions and climate-resilient development, in response to climate emergency

Sub-title: Growth through Green and Just Recovery from COVID-19

Expected UNDAF/CP Outcome(s): By 2025, women and men in Kosovo[1], particularly youth and vulnerable groups, have increased access to decent work and benefit from sustainable and inclusive economic development that is more resilient to impacts of climate change, disasters and emergencies.

Expected CPD Output(s): Output 2.4: Enhanced capacities in monitoring, forecasting and early warning for climate risks and disasters; Output 2.5 Livelihoods recovered post COVID-19

Initiation Plan Start/End Dates: March 2022 - March 2023

Implementing Partner: _____

Brief Description

In the aftermath of COVID-19, Kosovo is experiencing one of the most challenging health, societal, and economic crisis it has ever faced. The green recovery path will allow Kosovo to create new jobs and rebuild its economy, while pursuing a climate resilient future which will enhance its competitiveness. This project aims to provide an urgent, integrated solution to recover from the COVID-19 crisis by fostering an enabling environment and a people-centred approach, thus focusing on the most vulnerable groups as Kosovo moves towards climate resilient and just transition. The project will directly support data systems and policymaking on green recovery, promote environmental justice and community engagement, and support green recovery in the private sector.

Programme Period:	1 year
Atlas Project Number:	_____
Atlas Output ID:	_____
Gender Marker:	GEN-2

Total resources required	704,052USD
Total allocated resources:	704,052USD
• Regular	_____
• Other:	
○ Donor	704,052USD
○ Donor	_____
○ Government	_____
Unfunded budget:	_____
In-kind Contributions	_____

Agreed by UNDP:

[1] References to Kosovo shall be understood to be in the context of Security Council resolution 1244 (1999).

I. PURPOSE AND EXPECTED OUTPUT

Kosovo is undergoing one of its most challenging health, societal, and economic crisis as a result of the unprecedented COVID-19 emergency. In 2020, Kosovo's economy contracted with negative 5.3% growth rate, while in the first quarter of 2021, there was 25.8% unemployment and 60.5% inactivity. Women's inactivity rate was especially high, standing at 77.3%, compared to men's 43.5%. Although 2021's economic growth reversed significantly upwards driven by a rebound in diaspora visits, COVID-19 continues to exacerbate the socio-economic challenges.

This is happening as the region is facing critical challenges related to environmental degradation. According to the latest IPCC report, the Western Balkans as a region is considered one of the world's hotspots for adverse impacts of climate change and the region is particularly vulnerable due to its limited capacities and resources to adapt to the anticipated impacts. In Kosovo, the impacts of COVID-19 combined with climate change are leading to high socio-economic and environmental vulnerability, with marginalized groups being affected the most. Climate change is expected to intensify and increase the frequency of the already ongoing extreme weather events and impacts such as floods[2], and it is an urgent necessity to adapt to the anticipated changes to mitigate risks, vulnerabilities, and economic loss. Kosovo is in fact already facing increasing temperatures, declining water resources, and a consistent increase in diseases, disasters and pollution all add to the burden and threat to human security, health, and wellbeing. Outdated energy production technologies, polluting industrial processes, and weak waste management systems are some of the identified issues that lead to high levels of air pollution, threat to health and wellbeing, unsustainable use of natural resources, dispersed settlements, and inadequate heating systems.

The electricity and heat sector in Kosovo produce approximately 75% of total greenhouse gas (GHG) emissions (2019) in Kosovo, which is significantly higher than in neighbouring countries (e.g., 57% in North Macedonia, 68% in Montenegro) and the EU average (30%).[3] Air pollution in Kosovo also vastly exceeds both the WHO and the EU's air quality guideline values. There are major challenges in the waste management sector too, with waste being the source of 3% of the GHGs in Kosovo.[4][5]

With COVID-19, the urgency to accelerate the green transition and shift to a more sustainable development path has become evident. Jobs have been lost and financial losses have happened in all economic sectors. This has led to private sector actors - and particularly women - no longer having the means and drive to engage in environmentally friendly practices. In order not to lose the interconnected revenue streams and incomes, it is important to support these actors to become the agents of change in making the green transition a reality.

Given the fact that Kosovo is not a party to the UNFCCC and the Paris Agreement, it is not eligible to access vertical funds (e.g., GCF, GEF) to implement more climate change projects. Neither is it required to submit NDCs and related targets for 2030. However, in 2021 the government initiated a discussion with international stakeholders to set voluntary NDCs. Furthermore, the government is working on drafting the Climate Change Law, preparing to start the first in a series of renewable energy auctions in 2022, the Kosovo Energy and Climate Plan 2021-2030, and the Energy Strategy 2022-2031. The Energy Strategy is expected to include renewable energy targets of 25% -30% of electricity consumption[6]. The project will adhere to targets set under existing Kosovo

[2] https://www.rferl.org/a/kosovo-floods-emergency/31042176.html

[3] https://www.iea.org/countries/kosovo

[4] https://ask.rks-gov.net/media/2471/ghg-emissions-in-kosovo-2014-2015.pdf

[5] AIR POLLUTION MANAGEMENT IN KOSOVO (World Bank, 2019)

[6] https://balkangreenenergynews.com/kosovo-to-adopt-renewables-share-targets-for-2031-2050/#:~:text=Kosovo*'s%20energy%20strategy%20for,between%2025%25%20and%2030%25.

Energy and Climate Plan and other conversations around the voluntary NDCs. All outputs under the project are designed with the goal of climate resilience, and to support Kosovo in voluntarily setting NDC targets. The proposed outputs are aligned with the global Climate Promise framework – Pillar 1: Clean Energy and Net-zero Pathways and Pillar 2: Helping Vulnerable and Fragile Settings to be more Resilient to Climate Impacts.

Kosovo also has an opportunity to embrace the Green Agenda for the Western Balkans and benefit from the regional momentum. UNDP Kosovo is well positioned to work across institutions, sectors, and a range of key stakeholders by supporting institutions through provision of data for gender-sensitive and evidence-based legislative framework and strategies.

This project proposes an urgent, integrated solution to recover from the COVID-19 crisis by fostering an enabling environment and a people-centred approach, focusing on the most vulnerable groups in moving towards a green and just transition. To prevent Kosovo from falling behind other countries in the region, the momentum for a green transition will be used to build on existing UNDP projects in Kosovo and coordinate with existing Japanese projects. This project will directly support green transition policies impacting climate resilience, the limitations in environmental research and the need to prepare Kosovo Human Development Report, the lack of adequate legislation and enforcement of environmental law, the lack of community environmental engagement and awareness for climate change impact, and adaptation of the private sector to climate change. These activities should lead to a long-term understanding, change, and decrease of GHG emissions.

Output 1: Green Recovery supported evidence-based policies (*Global Output 1.2 Support to Ministries of Energy, Finance, Environment and Planning to address key energy-related decisions on COVID-19 recovery)*

Activity 1.1: Technical assistance and support for Kosovo institutions in drafting green recovery and energy-related policies based on gender-sensitive data

UNDP will support the Ministry of Economy and relevant ministries in the field of energy, climate, environment on the path to decarbonization. The Ministry of Economy will receive support and technical assistance to manage the energy crisis and the green and just transition. This support will build on the Kosovo Energy Strategy, to be published in the first quarter of 2022. The project will also support the Ministry of Environment, Spatial Planning and Infrastructure in building and strengthening its data systems to enable evidence-based policy making including its voluntary NDCs.

In addition to the above, UNDP has planned to utilize the experience in this project to provide support in the coming years on its new value proposition and analysis of the fossil fuel subsidies, phase out and consequent impact on the fossil-exporting economy of Kosovo, aiming for green transition.

Activity 1.2: Gender-sensitive data collection on Climate and DRR

To support gender responsive policymaking on Climate and DRR, the project will partner with women's CSOs and innovation-centred organizations. Jointly, the project team and partners will identify the needs for evidence/data, design a methodology for data collection, and pilot data collection.

Activity 1.3: Thorough assessment of the interconnectedness of environment and development nexus and the state of it, alternative data system creation

While Kosovo is not part of UNDP's global Human Development Report (HDR) – given the lack of required data - Kosovo recognizes the importance of maintaining a leave no one behind approach in human prosperity and development, as seen through the policies adopted to manage the COVID-19 pandemic with human development lens. Therefore, through this activity we will develop four Human Development Briefs on the topics of Energy Poverty, Circular Economy and Labour market, Sustainable Agriculture and Gender and Climate Change Policies. Those briefs aim to understand not only the effect that COVID-19 has had on the development of the society, but also how Kosovo's development can thrive within its environmental boundaries and natural resources, while following closely the long-term Kosovo development strategy.

Output 2: Green transition supported by local businesses with high potential for economic growth and job opportunities (*Global Output 1.1 Driving investment in clean energy*)

Activity 2.1: Training businesses in sustainable business models, risk management and resilience

The project will aim to build capacities of up to 50 private firms with a high business potential to transition towards environmental sustainability on a green recovery from the pandemic by focusing on sustainable business models, risk management and disaster resilience. A big emphasis will be given to women led MSMEs (aiming to improve the participation of women in economy) and the ones with high potential for job creation by trying to make the green transition a holistic transition. Furthermore, a series of talks will be organized in cooperation with Japanese experts, aiming to maximize the cooperation between Kosovo and Japanese Private sector.

Activity 2.2: Piloting green solutions for businesses

The project will support the implementation of pilot solutions for green MSME practices and more resilient practices towards natural disaster risks. The pilots will demonstrate the feasibility of decreasing the negative environmental effect in a cost-effective way for future replications and/or scale-ups. Women-led businesses will be prioritized to further enhance gender equality.

Activity 2.3: Support to start-ups with innovative ideas to address climate change and shape the next economy

Local entrepreneurs with innovative ideas are vital for decarbonization and shaping a clean future. UNDP will partner up with a local organization to foster a green business idea competition in facilitating a stage for green tech ideas to accelerate the journey into an enabling low-carbon future. The basis is a competition where the best ideas with the biggest climate impact will be invited for a longer bootcamp in getting their ideas to the next stage where they can jumpstart their business. The platform will involve specialized mentors and leaders in the subject, as well as the engagement of the Embassy of Japan in Kosovo.

Output 3: L**ocal communities, particularly youth and women, mobilised and given the tools to support the local residents in becoming more environmentally responsible** *(Global Output 2.1 Scaling-up adaptation, resilience, and disaster risk reduction tools and ensuring they are available to marginalized groups)*

Activity 3.1: Mobilization and sensitization of the local communities, in particular youth and women, on the right to live in a clean and healthy environment. Raising awareness on the negative consequences of climate change through advocacy campaigns.

Through the mobilization of the community the project will reach the grassroot level to sensitize, educate and create a vital community-push towards a climate resilient future, ensuring thus a just transition. Only 16.1% of the people in Kosovo claim that they know a lot about the right to live in a healthy environment, whereas 51.2% say they have little or no knowledge about the topic (UNDP Public Pulse XX, June 2021).[7] Consequently, to scale efforts that shift the behaviour of the population, the project will launch the UNKT's annual environmental mobilization campaign, Kosovo Earth Days over a 3-month period, starting in April 2022, in partnership with the Japanese Embassy in Kosovo and other development partners. In 2021 Kosovo Earth Days was a large outreach campaign, initiated by UNDP and implemented in partnership with UN Habitat, engaging Kosovo's senior leadership, Embassies, development partners, UN agencies, the private sector, and the community at large. These visibility events will be an opportunity to highlight the contribution by Japan to climate change measures in Kosovo. Activities include installations in public spaces, art performances, games with students, cleaning actions, digital solutions and challenges, and other forms of wide-scale community engagement.

[7] https://www.ks.undp.org/content/kosovo/en/home/library/democratic_governance/public-pulse-xx.html

Activity 3.2: Develop a digital solution to extensive reporting on environmental misconduct

Involving people and increasing their sense of responsibility and ownership is part of the solution to tackle environmental misconduct that contribute to increased pollution and negatively affect people's lives. In addition to the support to the enforcement of environmental and climate legislation, it is as important to create the means for the people to contribute to protection of Kosovo's environment and vast natural resources the vast natural resources in Kosovo by creating the means to do so for the people. The project, in close cooperation with relevant ministries, digital partners and NGOs/investigative media will develop an innovative digital reporting tool which enables people to anonymously report on incidents of environmental misconduct and environmental law violations. Incidents reported through the platform (online and mobile application), will be tracked by the NGOs/investigative journalists in partnership with institutions engaged in environmental protection. The strengthened accountability on the response to the incidents will contribute to reduced incidence of environmental misconduct and law violations on the environment and climate. The goal is to reduce events and possible risks that trigger climate disasters by connecting the reporting of violations with institutions and creating institutional accountability towards environmental justice. The focus will be on air, soil, and water pollution. Through the usage of the reporting tool, there will be vast amounts of data made available for analyse the Kosovo's environmental problems and informing data-driven policy making for future climate and environmental action.

Activity 3.3: Promote the new digital solution for reporting on environmental misconduct to increase awareness and encourage reporting of incidents

To maximize the impact of the digital solution for reporting (Activity 3.2), and at the same time advocate for environmental pollution mitigation, a Kosovo-wide informative campaign about the launch of the reporting tool will be organized. It will involve 1) a training module on the digital solution tool and 2) a Kosovo-wide campaign on the usage of the tool and environmental pollution mitigation. The public campaign will be gender-sensitive, with a particular focus of promoting the tool to marginalized groups (e.g., youth, women) and highlight the societal gains of caring for environment and joint combatting of illegal pollution. Furthermore, through this activity we will introduce civic engagement activities to promote collective action for a green and cleaner environment.

Lastly, the electricity and heat sector in Kosovo produce approximately 75% of total greenhouse gas (GHG) emissions (2019) in Kosovo. Draft Energy Strategy 2022-2031 has presented its ambitious targets in transitioning the energy sector into a low carbon one, with 100 MW of solar investment in prosumers and 1470 MW solar and wind capacities. Therefore, in support of green transition, through this activity we will partner with Japanese firms, academia and local partners to introduce (1) training programs for solar installation. Furthermore, in function of monitoring the green transition a (2) training programs that will enhance the skills of investigative journalists in monitoring and reporting the green agenda will be organized.

II. MANAGEMENT ARRANGEMENTS

The project will provide policymaking support to the Ministry of Economy, the Ministry of Environment, Spatial Planning, and Infrastructure, the Committee on Agriculture, Forestry, Rural Development, Environment, Spatial Planning and Infrastructure, and the Agency for Gender Equality. The project will also engage with private sector firms in Kosovo following competitive procurement rules, as well as with environmental CSOs s and climate business incubation programs.

UNDP in Kosovo is already coordinating with the Japanese Embassy in Kosovo on the project implementation details. Together with the Embassy, we are looking for possible areas of co-operation with the JICA ECO DRR and JICA Waste Management Projects, particularly around output 3. Whereas, jointly with the Japanese Mission, we are exploring Japanese expertise that will be able to contribute to the project implementation in all the project outputs. In the coming weeks and months, discussions will also focus on identifying possible Japanese technologies/firms that can contribute to green pilot solutions[1]. There is a high potential to generate fruitful cooperation with JICA's projects and expertise, which is actively engaged in Kosovo's capacity building in areas related to climate change such as air pollution monitoring & control and DRR. In addition, together

with the Japanese Embassy in Kosovo, we will seek opportunities to cooperate with the JSB projects in the other Western Balkan countries.

The project will ensure project reporting of the final narrative report within three months after the completion of the project and the final financial report within one year. Considering the tight timeframe for implementation, the project will employ two full-time staff.

The project will maintain high visibility and ensure continuous engagement and partnership with the Japanese Embassy in Kosovo and project stakeholders. UNDP is a well-respected development organization in Kosovo, with an extensive network of partners and ability to engage with a broad set of actors across sectors. In the implementation of the project, we will ensure strong communication through social media, high-level events, and innovative community engagement initiatives. Particularly, the project will ensure strong visibility for Japanese partners both in the promotion of the HDR and during the implementation of the awareness campaign.

[1] Such as Air pollution preventions, switching to non-polluting technologies and materials; Recycling and Waste Reduction i.e., packaging, efficient use of paper, source sorting and disposal systems for glass, aluminium, cardboard, wooden pallets, etc.; Efficient building design using e.g., HVAC units, occupant sensors in buildings, energy efficiency, thermic pumps, alternative individual solutions for energy sources, smart urban solutions; Efficient office ICT equipment and other machineries; Circular Economy solutions, including transforming product design and delivery, product packaging, waste treatment and transformation, business models and offerings; Digitalizing sales offering using fintech that prioritize investing in green economy.

III. RESULTS FRAMEWORK

The following table outlines the core global indicators which will be tracked to aggregate impact across the entire portfolio. X is indicated as indicators which will be tracked by this project. Other indicators may be monitored only where relevant.

Intended Outcome as stated in the UNSDCF/Country [or Regional] Programme Results and Resource Framework: Outcome #2: By 2025, women and men in Kosovo, particularly youth and vulnerable groups, have increased access to decent work and benefit from sustainable and inclusive economic development that is more resilient to impacts of climate change, disasters and emergencies.
Outcome indicators as stated in the Results and Resources Framework, including baseline and targets: Outcome indicator: Climate change mitigation and adaptation agenda advanced (Level of overall Greenhouse Gas (GHG) emissions) (UNDP) – SDG 13.2.1 Baseline: 10.5 Mt CO2 equivalent (2015) Target: 9.5 Mt CO2 equivalent (2025)
Applicable Output(s) from the UNDP Strategic Plan: Output 2.3: Enhanced climate change and green investment strategies Output 2.4: Enhanced capacities in monitoring, forecasting and early warning for climate risks and disasters
Project title and Atlas Project Number:

CORE INDICATORS[8]	DATA SOURCE	BASELINE		Pillar 1			Pillar 2	
		Value	Year	1.1 Driving investment in clean energy sectors and infrastructure	1.2 Support to Ministries of Energy, Finance, Environment and Planning to address key energy-related decisions on COVID-19 recovery	1.3 Alignment of energy targets in NDCs with net-zero pathways	2.1 Scaling-up adaptation, resilience, and disaster risk reduction tools and ensuring they are available to marginalized groups	2.2 Aligning targets in NDCs with national adaptation strategies and plans, including COVID-19 recovery
2.0 Number of direct beneficiaries with increased resilience to climate change (i.e more resilient physical and natural assets, diversified and strengthened livelihoods and sources of income, new/improved climate information systems) *(disaggregated by: male,*	*Fields visits and Project reports*	0	2021				*X*	

[8] It is recommended that projects use output indicators from the Strategic Plan IRRF, as relevant, in addition to project-specific results indicators. Indicators should be disaggregated by sex or for other targeted groups where relevant.

CORE INDICATORS	DATA SOURCE	BASELINE		Pillar 1			Pillar 2	
		Value	Year	1.1 Driving investment in clean energy sectors and infrastructure	1.2 Support to Ministries of Energy, Finance, Environment and Planning to address key energy-related decisions on COVID-19 recovery	1.3 Alignment of energy targets in NDCs with net-zero pathways	2.1 Scaling-up adaptation, resilience, and disaster risk reduction tools and ensuring they are available to marginalized groups	2.2 Aligning targets in NDCs with national adaptation strategies and plans, including COVID-19 recovery
female, youth (15-24) and indigenous people)								
4.0 Number of people trained/educated/informed through technical transfers, dialogues, workshops, campaigns, and other efforts *(disaggregated by: male, female, youth (15-24) and indigenous people)*	*Project report*	*0*	*2021*		*X*		*X*	
5.0 Number of development or sectoral policies/plans/budgets that integrate NDC targets or net-zero goals (preparation for voluntary NDCs)	*Policies and reports from authorities*				**X**			
6.0 Number of partnerships with Japanese organizations	*Project reports*			**X**				
JICA/University/technical experts	*Project report*			**X**	**X**		**X**	
Other								